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WEEKLY PERSPECTIVE ON CURRENT MARKET SENTIMENT

Santa Claus Came Early This Year

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Last Week's S&P 500 Index:
+0.9%

Key Takeaways

» *We typically start to hear about the potential for a Santa Claus rally every year at about this time but tax hype has ruled the news headlines.*

» *But after a nearly 20% return so far in the S&P 500 this year, the question is does anyone really care if the market rally continues into year end?*

Just for a second, try and step away from the tax-cut hype that has helped push the market higher for the last few months. In the background, if you listen closely, you are hearing a question in recent days when you turn on any of the financial television channels. It happens every year no matter what stock market performance has been the prior 11 months. And whether the market has already been naughty or nice doesn't make any difference. Every year stock investors ponder the question of whether there will be a "Santa Claus rally" to finish out the year. But this year, does anyone even care?

Technically, the "official" time frame for a Santa Claus rally is the week of trading between Christmas and New Year's Day. But hey, we like the entire holiday season starting with Thanksgiving, so our Santa Claus rally time frame is a bit more extended. We are willing to throw a market party for the entire month of December whenever possible. And the upside momentum has certainly continued through the holiday season this year. December, historically, has been one of the strongest months for stock market performance looking back over the past 60 years. In fact, the entire three-month period from November 1 through the end of January tends to be very good seasonally for equities.

But we also like to look at the fundamentals and valuations before getting all charged up with holiday cheer. This strategist admits that may sound a bit like Ebenezer Scrooge, but sometimes all that holiday cheer needs a shot of reality along with the eggnog. And this might be one of those times. We had our rally caps on during the first half of this year, but we underestimated the continued consistent strength of the equity market in the second half. The modest pullback we anticipated never came.

But do we really want to step in front of this freight train, or, if you will, this gift-laden sleigh, and say the rally is over? We could get run over by Santa and his reindeer. We certainly do not believe the cycle is over, and tax reform looks like it could extend the good times for a couple more years. What we can say is that based on our analysis, at this point in time, and taking into account what seems to be a "done deal" in terms of tax reform, the S&P 500 appears to be below what we would consider "fair value."

So yes, we look for higher stock prices in the coming 12 months. We are putting pencil to paper now attempting to figure out how much higher. There are many moving parts in the equation, and one still has to make a number of important assumptions to reach an answer. The bulk of the stock market gains in this cycle are likely behind us, but we see an improved potential for gains over the next couple of years given the new legislation likely to be enacted.

The S&P 500 has rallied nearly 20% in 2017. This is an impressive feat this late in the cycle and one that should make investors very happy. More to come on the markets, but for now enjoy the remainder of the holiday season and be thankful for family and friends. Santa Claus came early this year.

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